

WEBULL CORPORATION (NASDAQ: BULL)

Cash Is the Floor, the Business Is Free

BUY on Hardened DCF

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Recommendation	12-Mo. Price Target	Current Price	Implied Upside	Risk Rating
BUY	\$9	\$7.34 Oct 2, 2026 close	+22.6%	Medium-High PFOF regulatory overhang

Snapshot			
Market cap (@ \$7.34)	~\$3.5 bn	Net cash (Jun 2026)	~\$1.85 bn
Enterprise value	~\$1.6 bn	Net cash / share	~\$3.89
2025 revenue	\$571 mn	2025 adjusted net income	\$84.2 mn
Ex-cash price (operating co.)	~\$3.45 / share	Revenue model	PFOF + net interest + subscriptions
Listed	Apr 2025 (SPAC merger)	HQ	St. Petersburg, Florida

This note is independent research-style analysis for informational purposes only and is not investment advice. Business background is drawn from Webull's SEC filings, earnings releases, and reputable financial press as of October 2, 2026. Valuation is strictly per the author's hardened v2 scenario-DCF model; projections and the price target are the author's estimates.

1 Investment Thesis

The arithmetic of Webull at \$7.34 is almost insultingly simple. The company sits on **~\$1.85 billion of net cash** against a ~\$3.5 billion market capitalization. Subtract the cash and the market is valuing the entire operating franchise — a profitable brokerage doing \$571 million of 2025 revenue across 40+ markets, one of the top retail options-trading platforms in the US — at roughly **\$3.45 per share, ~\$1.6 billion**. That is 2.9x revenue for the operating company, cash-adjusted. Our mid-cycle base case values the operating business alone at \$4.89/share (\$8.78 fair value minus \$3.89 of cash). You are being offered the business for less than a harsh mid-cycle DCF says it is worth, and the cash truncates the left tail.

Why is it this cheap? The reason is legible and it is exactly one thing: **payment for order flow is the regulatory piñata**. The EU has already banned PFOF; the SEC has flirted with reform or an outright ban for years; and 2026's trading-volume boom will normalize, because retail volumes always do. Our bear case models precisely that future — US take-rates compressed ~30%, EEA economics dead, revenue crawling at a 2.5% CAGR to \$730M by 2035, marketing staying intense, the governance discount persisting — and the equity is still worth **\$4.95, only 33% below the price, with roughly three-quarters of that being touchable cash**. The base case asks for no heroics: 11.9% revenue CAGR fading to single digits, adjusted-net margins settling at a mid-cycle 18%, self-clearing savings offsetting marketing intensity. That is \$8.78. The probability-weighted math (25/50/25) is \$8.91 → **\$9 target, +22.6%**.

The forward-looking judgment: **Webull's international footprint is the underpriced asset**. Forty-plus markets means the growth story is not hostage to US regulation alone — if US PFOF gets gutted, the user-acquisition machine in the UK, Europe, Asia-Pacific, and Latin America keeps compounding, and self-clearing grinds unit costs down everywhere. The old note declined to build a DCF and anchored on peak-cycle 2027E multiples — capitalizing a volume boom as permanent. The rebuild rejects that. The base case does not need the US to stay perfect; it needs the company to keep adding users and monetizing them internationally while the cash pile grows. That is a reasonable ask for \$3.45 a share of operating value.

Why own it

Cash is the floor, not the thesis. \$1.85B net cash, ~44% of base-case fair value; near-zero debt; maintenance capex ~\$5M/yr. Adjusted net income is, for practical purposes, owner earnings — which is why the model discounts it directly as FCFE.

A real, profitable business at scale. \$571M of 2025 revenue, \$84.2M of adjusted net income (~15% margin), growing — not a concept stock burning cash to buy users.

The international option. 40+ countries. If US PFOF is regulated away, the non-US growth engine is already built and compounding — the exact offset the falsification condition requires.

Self-clearing as a margin lever. Clearing-cost takeout drops straight to the bottom line and scales with volume; it is the structural offset to marketing intensity in the base case.

Highest take-rate products first. Retail options and crypto are the best-monetized order flow in the industry; Webull over-indexes to both versus full-service incumbents.

Why the market should be nervous

PFOF is one regulator away from the bear case. The EU ban is precedent, not theory; the SEC has kept reform on the table for years. A US ban or a ≥30% take-rate compression with no international offset breaks the thesis — that is the stated falsification, and it is a real risk, not boilerplate.

2026 volumes will normalize. Retail trading volumes are cyclical; the current boom flatters every revenue line, and the bear case models the comedown explicitly.

The CAC treadmill. Retail brokerages buy growth with marketing spend. Against Robinhood, Schwab, and eToro, acquisition costs stay elevated — the base case assumes self-clearing savings merely offset this, not defeat it.

Governance discount persists. Founder control and the associated overhang are priced into all three scenarios via the discount tier (base 12%, a full step above a plain-vanilla financial).

2 Business Overview

Company background below is drawn from public sources (filings, earnings releases, financial press); valuation is strictly the author's v2 model.

Webull Corporation (founded 2016 by Anquan Wang, formerly of Alibaba; headquartered in St. Petersburg, Florida) operates a commission-free, mobile-first trading platform aimed at self-directed retail investors. It went public in April 2025 via a SPAC merger with SK Growth Opportunities Corp, listing on Nasdaq under ticker BULL. The platform is best known for extended-hours trading, a deep options-trading interface, and paper-trading tools that made it a favorite of the active-retail cohort — the highest-turnover, highest take-rate segment of the retail market.

The footprint is the differentiator versus US-centric peers: Webull operates in 40+ markets spanning North America, Europe, Asia-Pacific, Latin America, and the Middle East, with 20M+ registered users globally. Revenue comes from four streams: **payment for order flow** (the dominant transaction line, especially options), **net interest income** on customer cash balances and securities lending, **subscriptions** (Webull Premium tiers with Level 2 data and margin-rate discounts), and **crypto trading**. The company has been migrating toward self-clearing, which removes per-trade clearing fees paid to third parties and is the main structural margin lever over the model horizon.

Competitive position: Webull sits between Robinhood (the larger US retail brand, similar PFOF dependence) and the incumbents (Schwab/Fidelity, scale and banking attach) on one side, and eToro/Interactive Brokers on international/social and pro-sumer axes on the other. Its edge is product depth for active traders (options analytics, extended hours) plus a genuine multi-region footprint that few retail brokerages have built. Its vulnerability is the mirror image: the same PFOF model as Robinhood, with a smaller balance sheet and a shorter public-market track record.

3 Revenue Model & Financials

Four revenue streams, two of them cyclical. PFOF and crypto scale with retail trading volumes (the 2026 boom flatters both); net interest income scales with rates and customer cash balances; subscriptions are the only genuinely recurring line and the smallest. This is why the hardened model treats reported operating cash flow with suspicion — brokerage FCF is polluted by customer and clearing-balance movements (2023 operating cash flow of \$470.6M against \$389.6M of revenue is the exhibit) — and discounts **adjusted net income as the FCFE proxy** instead. The firm is net-cash with near-zero debt and ~\$5M of annual maintenance capex, so adjusted net income is, for practical purposes, cash owner earnings.

Base-case financial path (v2 model; 2025 actual, 2026+ projected):

\$ mn	2025A	2026E	2027E	2028E
Revenue	571	790	950	1,090
Revenue growth	—	+38%	+20%	+15%
Adjusted net income	84.2	~115	~152	~191
Adjusted net margin	14.7%	14.5%	16.0%	17.5%

2025 figures are company-reported anchors. 2026+ are base-case model projections, not guidance. The base path has revenue growth fading from the 2026 volume boom toward single digits by the early 2030s, with margins gliding to a normalized mid-cycle 18% — never peak-cycle margins.

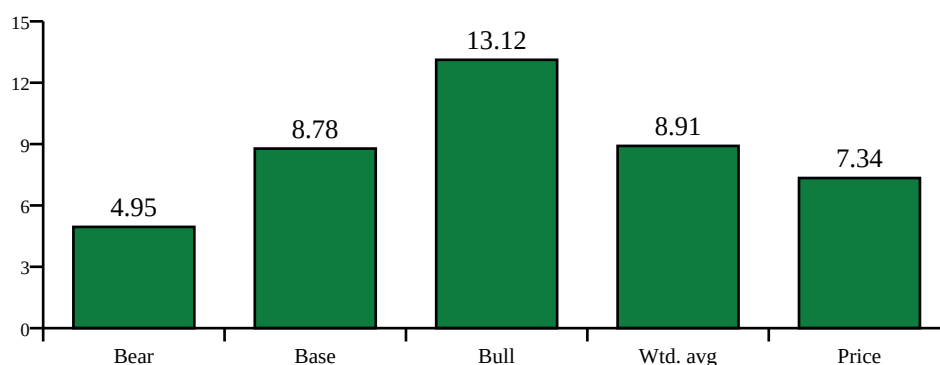
4 Valuation — 10-Year Scenario FCFE DCF, Fair Value \$8.91 → \$9 Target

The old note declined a DCF and anchored on peak-cycle 2027E multiples — capitalizing a volume boom as permanent. The hardened rebuild replaces that with a **10-year scenario DCF on adjusted net income $\approx$ FCFE**, weighted bear 25% / base 50% / bull 25%, with scenario-specific discounts: bear 14.5% (base + 250bp), base 12.0% (speculative tier: PFOF regulatory overhang, volume cyclical, governance discount), bull 10.5% (base – 150bp). Terminal growth is 1.0% / 2.0% / 2.5% on year-10 earnings at **normalized mid-cycle margins (14% / 18% / 20%)** — never peak margins. Net cash of \$1,847M is added to enterprise value in all scenarios; bear-case share count is 500M (dilution under stress) versus 475M in base/bull.

Scenario DCF (10-year, adjusted-net-income $\approx$ FCFE):

Scenario	Rev. CAGR '26-'35	2035 revenue	Yr-10 adj-net margin	Discount / term. g	Fair value
Bear	2.5%	\$730 mn	14%	14.5% / 1.0%	\$4.95
Base	11.9%	\$1,760 mn	18%	12.0% / 2.0%	\$8.78
Bull	16.1%	\$2,548 mn	20%	10.5% / 2.5%	\$13.12
Probability-weighted (25/50/25) → \$8.91 → \$9 target					\$9

Scenario fair values vs. current price (\$)



Read the bars left to right as the story of the trade. The bear (\$4.95) is genuinely painful — it sits 33% below the price, models PFOF compression plus volume normalization, and passes every hardened rule (bear below price, terminal value only 31% of EV, terminal derating of 26% versus base). But ~\$3.70 of that \$4.95 is cash. The base (\$8.78) is where 44% of value is hard net cash (\$3.89/share) and the operating business is worth \$4.89/share on mid-cycle math. The weighted \$8.91 rounds to a **\$9 target**, +22.6% versus \$7.34. The verdict survives even if the base discount is pushed to 13% — the cash floor, not the growth assumption, is doing the work.

What the price implies: at \$7.34, the market values the operating business at ~\$3.45/share ex-cash — below the operating value of the *base* case (\$8.78 – \$3.89 cash = \$4.89/share), and the bear case's thin operating value is precisely why the cash floor does the work in the weighted math. Put plainly: the market prices the operating business as though the PFOF bear case is the *expected* outcome, while paying nothing for the international growth option or self-clearing leverage. The base case does not require the US to stay perfect — it requires the company to keep adding users abroad while costs grind down. That asymmetry is the BUY.

5 Risks & Falsification

Risks

US PFOF ban or severe take-rate compression. The single thesis-breaking risk. The EU ban is the template; if the SEC bans PFOF or take-rates compress $\geq 30\%$ with no international offset, 2027 revenue falls below ~\$700M and the bear case (\$4.95) becomes the base — downgrade to REDUCE on

confirmation.

Volume normalization. Retail trading volumes are among the most cyclical series in finance. A quiet 2027–28 compresses PFOF and crypto revenue simultaneously; the model assumes the 2026 boom fades, but a deeper trough hits the base case.

Regulatory contagion beyond PFOF. Leverage caps, gamification scrutiny, and payment-for-order-flow-adjacent rules in the UK/EU could raise compliance costs or constrain the product in Webull's growth markets.

Customer-acquisition intensity. Retail brokerages rent growth with marketing spend. A CAC arms race against Robinhood and the incumbents keeps margins below the bull path; the base case assumes self-clearing savings only *offset* this drag.

Governance and track-record discount. Short public history (listed April 2025), founder control, and SPAC provenance keep a structural discount in the multiple — priced in via the 12% base discount, but capable of widening on any misstep.

Falsification

The BUY breaks if **US payment for order flow is banned, or take-rates compress by $\geq 30\%$ with no international offset** — operationalized as **2027 revenue below ~\$700M**. That outcome converts the bear case into the expected value and the \$9 target with it; the rating would move to REDUCE/SELL on confirmation. Short of that, volume softness or margin pressure is already priced into the \$4.95 bear that the weighted target absorbs.

6 Recommendation

BUY, \$9 target (+22.6% vs \$7.34). Webull is a profitable, growing brokerage trading as though its operating business is worth \$3.45 a share — less than a harsh mid-cycle DCF assigns it, with \$3.89 a share of net cash truncating the downside. The hardened 10-year scenario DCF values the equity at \$8.91 (bear \$4.95 / base \$8.78 / bull \$13.12), rounded to a **\$9 target**. The old note's peak-cycle 2027E multiples are rejected; the target *is* the weighted DCF. The one thing that breaks the call is a US PFOF ban or $\geq 30\%$ take-rate compression with no international offset (2027 revenue <\$700M) — a real risk, stated plainly, and the reason the risk rating is Medium-High rather than Medium. Until that risk materializes, the cash floor plus the international growth option is a BUY.

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